

Treasure Management

BBA — 8th Semester — 2022 — Answer Sheet

Subject Code: BNK207

Note: This answer sheet is currently a template. Detailed answers will be added progressively. Students are encouraged to refer to textbooks and class notes.

Section A

1. The Treasury department of the bank invests the majority of its funds in high-risk assets in order to maximize earnings.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

2. The front office is responsible for analyzing and controlling the risk of treasury dealings.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

3. Call deposit mainly serves the need for appropriate assets liability management of the banks and financial institutions.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

4. Counterparty risk arises from the non-performing of a trading partner.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

5. Deposit pricing is the process of determining the price of deposit-related services offered by depository institutions.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

6. Statutory liquidity ratio (SLR) is the maximum amount of liquid funds the bank has to maintain.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

7. A bank with a positive duration gap would experience an increase in the market value of equity with rising interest rates.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

8. The market price of underlying securities determines the value of derivative securities.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

9. Non-price competition for deposits has tended to distort the allocation of scarce resources in the banking sector.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

10. FEDAN is an association of all banks and financial institutions in Nepal.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section B

Short Answer Questions: [6 × 5 = 30]

11. What do you mean by Treasury Management? Explain the roles and functions of the treasury department.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

12. What are the major types of credit products of Nepalese commercial banks? Explain.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

13. Briefly describe the major risk faced by Nepalese commercial banks.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

14. What is deposit pricing? Describe the various deposit-pricing models used in the banking industry.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

15. Define asset-liability management. Discuss the objectives of the ALM system.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

16. Describe the credit default swap (CDS) and also highlight the various types of risk associated with the derivative product.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section C

Comprehensive Answer Questions: [2 × 10 = 20]

17. What do you mean by a bank's investment portfolio? Explain the types of investment instruments accessible to Nepalese commercial banks.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

18. The banking and financial services sector has experienced changing wave of banking regulations to address to consequences of economic instability. In the light of this statement, explain the scope, opportunities, and challenges associated with banks' treasury functions.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

These answer sheets are prepared for educational purposes. Students are encouraged to verify with official textbooks and course materials.